

1) The GDP growth rate for the developed countries is not so high. This reflects in their stock market returns. The growth rate is much higher for developing countries and this in turn, reflects in the stock market. While I will not advice to take this relationship literally ^[21], it should be enough to motivate anyone to profit personally from a country's overall growth.

2) Current GDP estimates show that India's GDP is at least 3-4 times lower than that of developed countries (USA, Scandinavian countries, Japan, Australia) ^[22]. This points to a fairly obvious fact: there is a lot of *room* for our infrastructure to grow. This in-turn means a lot of profit is up for the taking.

In such a situation would you be a moneylender, afraid of the company's fortunes, or would you be a shareholder, daring but getting better returns?

Given the circumstances, deciding to be a shareholder and not a moneylender seems prudent. This automatically implies that we need to invest in companies that are likely to be hugely profitable in the future. Since we cannot see the future to any certain degree, we will have to take a calculated risk.

Considering Calculated Risks: While we cannot buy one company and place all our hopes on it, spreading the risk by buying a basket of shares is smart. For eg. shares from an automobile company, from a paint company, from a sugar company, from a bank, etc. This is known as a diversified stock portfolio. This kind of a distribution greatly reduces overall volatility.

As simple as this concept works, there have been several high-profile individuals who have taken a crack at it and failed. Here are a few examples:

Sir Isaac Newton who gave us so many wonderful discoveries in Science including gravity had a major *défaillance* with money. By the time he had achieved the award of Highest Officer of the Britain's Royal Mint, he discovered a fallacy with the South Sea Company's fortunes. The South Sea Company had gained monopoly of trade to South America (silver mountains) and people were bullish over the company's prospects to create